The Number Under the Number

He is quoted everywhere as a 90 percent win rate short seller. **That figure is true, useful and the most dangerous sentence in this whole set of guides to read quickly.** Here is what sits under it.

01 Ninety percent

The number attached to him everywhere is a **90 percent win ratio**. It is the most quoted thing about him and the easiest thing to misread, so it is worth taking apart before it does any damage.

- **A high win rate is not an edge on its own.** Win rate times average win, minus loss rate times average loss. **You can win nine times out of ten and still lose money** if the tenth one is ten times bigger.
- **High win rate and short side usually means many small wins.** That is a coherent way to trade. It only works when the rare loss is held small on purpose, which is exactly what he says the risk rules are for.
- **It is a publisher claim, not a verified statement.** Verified by whom, over what sample, in what period, is not public. Treat it as a description of style, not as a target.
- **Copying the number is not copying the method.** Chasing a 90 percent win rate without his risk rules produces the disposition effect on purpose.

02 The three

Read the three books side by side and they appear to disagree about being right. **They do not. They are describing the same thing from three distances.**

- **Hougaard: you do not need to be right.** A statement about your ego, and about what it costs you to defend it.
- **Paul: expectancy over prediction.** A statement about the maths, and about which number actually compounds.
- **Capablanca: a 90 percent win rate.** A statement about one operator's style, produced by hard risk limits rather than by good forecasting.
- **All three end in the same place.** Nobody in this group is claiming to know what happens next. Two of them say so plainly and the third demonstrates it by capping the downside so hard that being wrong is cheap.

THE ONE IDEA

A win rate describes the shape of your results. It does not tell you whether you make money, and it is the single easiest number to copy without copying the thing that produced it.

SOURCES & NOTE

Sources: David Capablanca, Short Selling Master, Harriman House, 2026-08-04, publisher page; Forbes Finance Council profile; The Friendly Bear podcast, episode Q7nKecU-7sE.

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